

Preface

The Indian capital market is vibrant and alive. Its growth in the last three decades has been phenomenal. In 1983, market capitalization of the shares quoted in the Bombay Stock Exchange amounted to a mere US \$7 billion. It grew to US \$65 billion in 1992; to US \$220 billion by April 2000; to US \$ 428 billion in 2003, and hit US \$ 1,350 billion (Indian Rs. 60,78,034 crore) in May 2010. Not just that. In May 2010, 4,078 companies were quoted on the Bombay Stock Exchange making it one of the largest such exchange in the world.

The ride has been tumultuous. The growth of the market began with the FERA dilution, i.e. when foreign companies were compelled to dilute their holdings in their Indian entities. The interest in the stock market grew with speculators and others entering the arena. Though one may question their methods, individuals such as the late Harshad Mehta must be recognized as people who did much to create an awareness of the market which led India's middle class to start investing in shares. The reforms following the liberalization of the early 1990s, the entry into this market of foreign institutional investors (FIIs) and mutual funds, coupled with scams and downturns, forced many an individual investor out of the market. The bursting of the dotcom bubble and the Ketan Parekh scam heightened the average investor's fears. It is interesting to note that the individual who invested in the market during the boom in the third quarter of 2003 is the young, new generation investor – investors who had not lost monies in the earlier Harshad Mehta or Ketan Parekh scams. Then in the boom of 2006-07, the index soared culminating at 21,078 on 8 January 2008 before falling to below 10,000 within a year in the wake of the world wide economic depression.

And, yet, the investor dreams even after he has been mauled. This is because the share market can make one wealthy beyond one's wildest dreams. With the boom in IT shares, for example, Azim Premji of Wipro was for a brief period the second richest man in the world (after buffetting away Warren Buffett from that position) and Infosys Chairman K. Narayanamurthy was, at one time, worth in excess of Rs. 14,000 crore.